

Olevel

Chp:- Inflation

Monetary inflation



Zarak
Nushtag

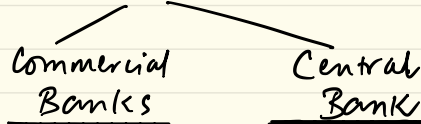


③ Monetary Inflation $\Rightarrow$ prices $\uparrow$

Money



Banks



- | | |
|-----------------------|--|
| • Private sector | • Public sector |
| • Shareholders | • Government |
| • Profit max | • Price stability |
| • loan to individuals | • notes |
| • loan to firms | • coins |
| • Advertising | • Reserves (foreign currency) |
| | • Gold |
| | • loan to government |
| | • Monetary policy (money supply and interest rate) |

* Central Bank will always desire to keep money supply stable so that less fluctuations occur, but it depend on economic condition!

Opportunity cost of transaction is the interest rate that could have been received will not be received!

$\Rightarrow$ Demand (m^d) $\Rightarrow$ Transactions or interest rate

$\Rightarrow$ Supply (m^s) $\Rightarrow$ circulation of money



controlled by central Bank



objective :- Price stability

Monetary inflation exists when circulation of money increases i.e. increase in money supply. This is done by central bank through government intervention at time of recession. Thus central bank reduces interest rate to encourage borrowing and discourage saving, which increases aggregate demand causing multiplier effect which welcomes mild inflation i.e. desirable but in the longrun, as resources are fixed, there is a situation of too much money chasing too few goods, causing hyperinflation to exist.

Interest rate and Exchange rate

Positive Relationship

★ Interest rate $\uparrow$

★ Interest rate $\downarrow$

Exchange rate $\uparrow$ (Appreciation)
Exchange rate $\downarrow$ (Depreciation)

Interest rate $\downarrow$

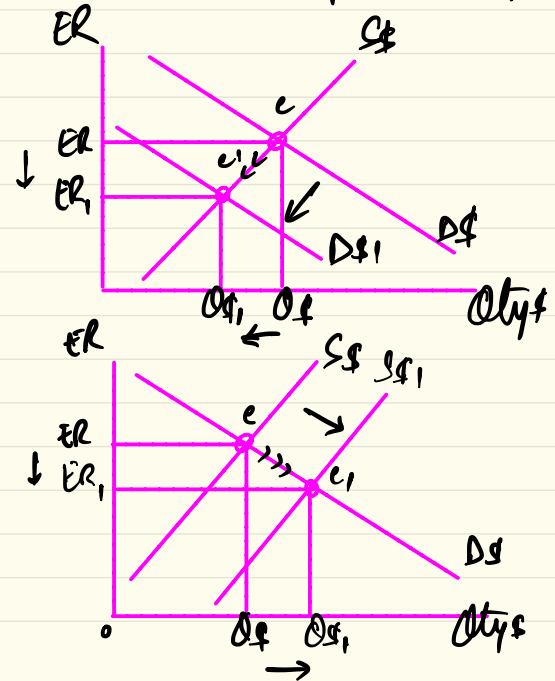
Demand $\downarrow$

They take their money back because

our banks are providing less return.

Supply $\uparrow$

Our residents take their money to other country for better return.



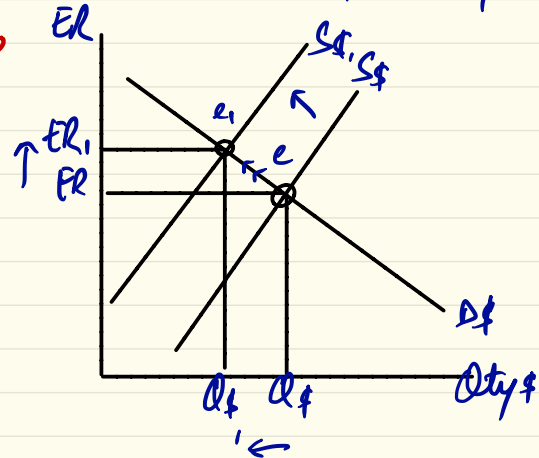
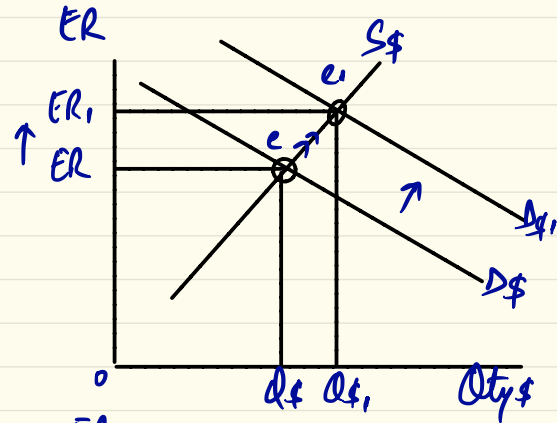
Interest rate $\uparrow$ $\longrightarrow$ Exchange rate $\uparrow$ $\longrightarrow$ Appreciation

Demand $\$ \uparrow$

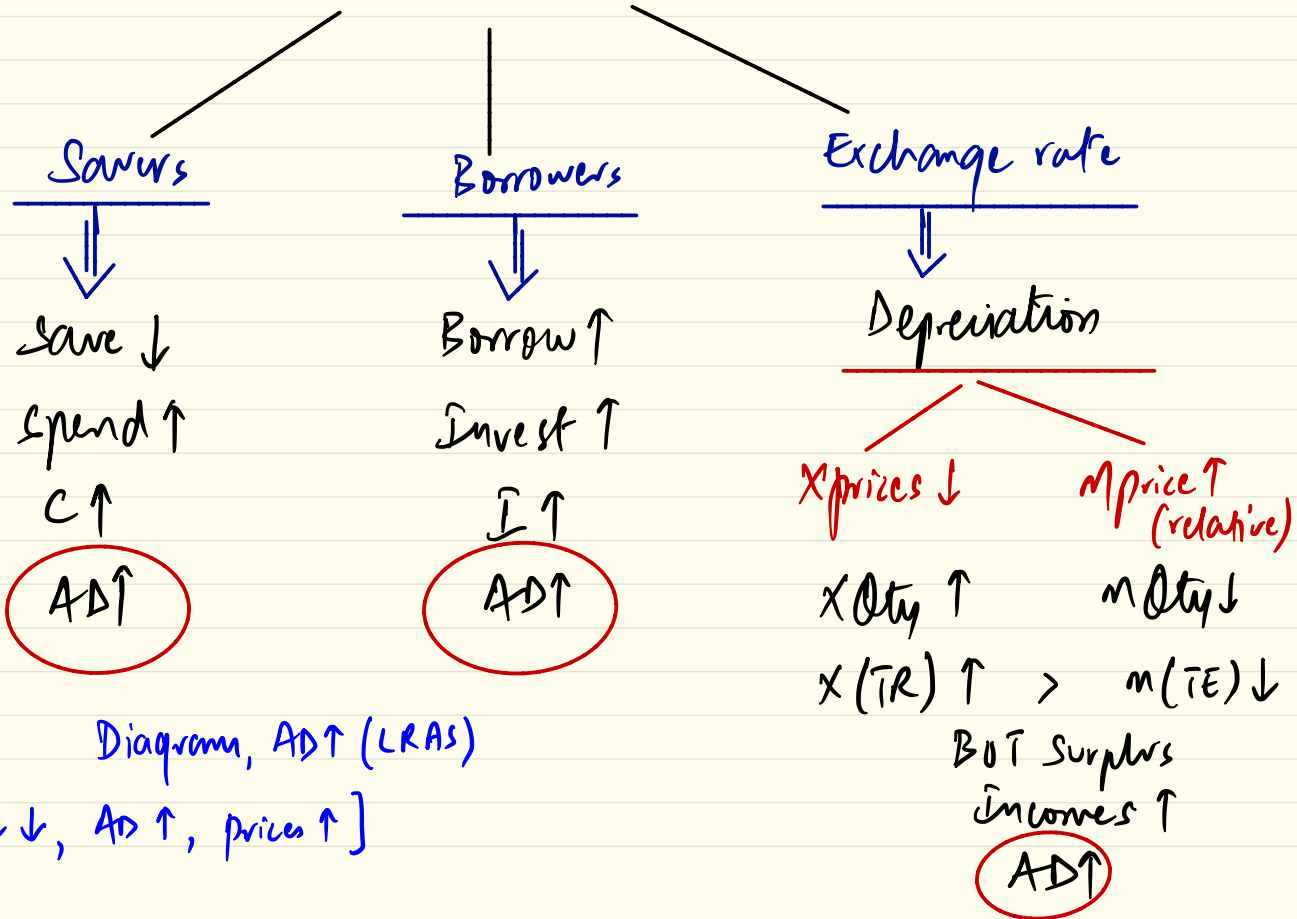
FDI,
foreign direct investment
foreigners are
attracted and save
their currency in our
economy,
converting their currency into
our currency, Demand $\$ \uparrow$

Supply $\$ \downarrow$

Our local residents
must have invested
our currency in other
economy, as our country
are offering better return,
they will call back
their currency, causing a
fall in supply of currency
from international
market!



Interest rate $\downarrow$ ($r \downarrow$)



Diagramm, $AD \uparrow$ (LRAS)

$[M^s \uparrow, r \downarrow, AD \uparrow, \text{prices } \uparrow]$

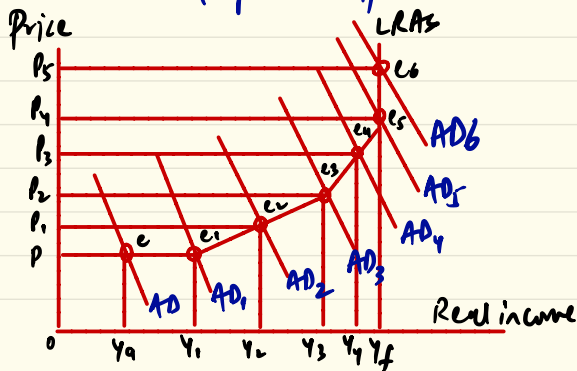
can lead to
demand pull
and cost
push inflation

Interest rate ↓
Depreciation / Devaluation

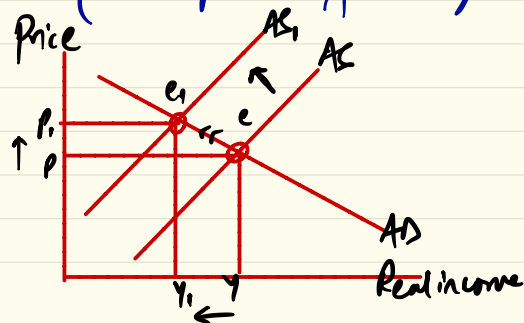
$\swarrow$
 $X \text{ prices } \downarrow$
 $X \text{ Qty } \uparrow$ (large %)

Demand: Elastic

$X (IR) \uparrow$
 Income $\uparrow$ (AD $\uparrow$)
 Demand pull inflation



$\searrow$
 $M \text{ prices } \uparrow$ (relative)
 $M \text{ Qty } \downarrow$ (small percentage)
 Demand for imports: Inelastic
 e.g. raw material (imported inflation)
 $M (IE) \uparrow$
 cost $\uparrow$ (cost-push inflation)



Questions

Marks:- 36

- Q1 Explain how increase in money supply can cause inflation in an economy? 6 (Paragraph given)
- Q2 Explain how a fall in interest rate can reduce exchange rate? 8 (Demand $\downarrow$ + Supply $\uparrow$)
- Q3 Explain how a rise in interest rate can increase exchange rate? 8 (Demand $\uparrow$ + Supply $\downarrow$)
- Q4 Explain how depreciation/Devaluation of currency can result in balance of trade surplus? 6
- Depreciation/Devaluation, $X_{\text{prices}} \downarrow \rightarrow X_{\text{Qty}} \uparrow, X(\text{TR}) \uparrow$
 $M_{\text{prices}} \uparrow \rightarrow M_{\text{Qty}} \downarrow, M(\text{TF}) \downarrow$] BOT surplus
- Diagram AD $\uparrow$